

Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China

Team Project Proposal for Corporate Finance (FIN803)

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Project Title. Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China.

Background and Motivation. Earnings-related disclosures matter because they update investor beliefs about future profitability and firm value. The initial version of this project relied on a guidance-only proxy for expected earnings, which was useful for exploration but weak as a headline research design. The revised version keeps the Tushare-first architecture but narrows the current purpose of the repository: it is now a Tushare-based diagnostic baseline for showing how expectation measurement and match quality affect inference in China A-share earnings-event research.

Research Question. The core question is whether earnings-related public disclosures in China A-shares generate short-run abnormal return once surprise is measured relative to stricter pre-event sell-side expectations, and how much that answer changes across surprise scaling and explicit matching tiers. The project no longer treats a single pooled standardized specification as the automatic headline. Instead, it asks which parts of the Tushare-first design remain credible under cleaner identification choices.

Relevance to FIN803 Corporate Finance. The topic remains closely aligned with the FIN803 syllabus. It relates to **stock valuation** because earnings disclosures update expected cash flows and therefore intrinsic value. It relates to **capital markets and information processing** because abnormal return around disclosure events reflects how quickly public information enters prices. It also uses ideas from **CAPM and expected return benchmarking** because abnormal return is measured relative to market return and the regressions control for firm characteristics and exposure proxies. The final framing remains cautious, valuation-centered, and diagnostic rather than strategy-centered.

Methodology. The framework continues to use Tushare Pro as the primary data source. Sell-side expectations are drawn from `report_rc`. Event types are standardized from `forecast/forecast_vip`, `express/express_vip`, and `fina_indicator`. Market controls are taken from `daily_basic`. The default headline sample is now preannouncement-only under strict same-quarter matching. Surprise is compared in parallel as raw, percent, and standardized measures. Matching quality is made explicit through a tiered ladder: strict same quarter, same fiscal year nearest valid, latest valid pre-event, and multi-report median. The main outcomes remain short-window abnormal returns, especially *CAR3*, *CAR5*, *CAR10*, and *CAR20*, with firm controls, industry fixed effects, year-quarter fixed effects, event-type fixed effects, and firm-clustered standard errors.

Main Finding and Contribution. The main contribution of the current revision is diagnostic rather than headline-driven. The repository now provides a cleaner and more auditable Tushare baseline and shows explicitly how inference moves when event universes, surprise scales, match tiers, and analyst-coverage thresholds change. The present Tushare-only evidence should not be framed as strong headline proof. The more defensible contribution is a disciplined diagnostic package that identifies where the cleaner design helps and where stronger external expectation data would still be needed.

Current Diagnostic Recommendation. Recommendation B remains the most defensible conclusion: preserve the Tushare-first event architecture and auditability, use preannouncement-only strict matching as the default baseline, report raw/pct/std and strict/relaxed tiers explicitly, and avoid claiming strong headline evidence from the current Tushare-only matched sample. This is a more credible academic contribution than overstating either the old proxy design or the current thin matched sample.